"**We have never defaulted in the past** and we won't default now," asserted Pakistan's federal minister for finance Ishaq Dar on March 3, looking irritated at the persistent questions journalists were lobbing at him at a press conference. His irritation stemmed from ongoing speculation about the country's crisis-wracked economy; the latest blow dealt by credit ratings agency Moody's, which had downgraded Pakistan's sovereign rating to Caa3, signifying "increasingly fragile liquidity and external position" and a raised risk of default.

Dar painted an optimistic picture at the press conference, trying to assure those assembled that a long-pending staff-level agreement with the International Monetary Fund (IMF) was just round the corner, that bilateral funds would soon be flowing in to shore up the dangerously low foreign exchange reserves and that he had everything under control. Not many were convinced with his bluster. Since he took over the reins of the finance ministry in September—elbowing out fellow Pakistan Muslim League-Nawaz member, the Wharton-educated Miftah Ismail—Dar has seemed like a bull in a china shop. None of his boastful claims before he came into office—that he would control inflation, renegotiate stringent IMF conditionalities and bring the plunging rupee back under Rs 200 to the US dollar—have materialised.

A FALTERING ECONOMY

If anything, Dar's blundering attempts to pull back processes put in place by Ismail have led to a faltering economy going from bad to worse. Inflation is at a historic high, with food inflation clocking in at over 42 per cent and transport inflation at over 39 per cent; an IMF tranche that was due last November is still in limbo while the government has been forced to accept all harsh conditions. The rupee at one point plunged to almost Rs 300 to the dollar before making a modest recovery.

As exports decline and debt repayments become due, Pakistan's forex reserves stand at just over $3.8 billion—sufficient for a month of imports—and making the threat of potential default very real. Moody's estimates Pakistan's external financing needs for the remainder of fiscal year 2023 (ending in June) at $11 billion and that of fiscal 2024 at around $35-36 billion. In addition, the agency estimates Pakistan's current account deficit at around $10 billion. The State Bank of Pakistan recently raised interest rates by an unprecedented 300 basis points to 20 per cent, which will likely crush the formal sector of the economy and make it non-competitive. Fuel prices have been raised so high that there is a real danger of social unrest. On February 16, the price of diesel was hiked by Rs 17 to cost Rs 280 a litre, while petrol prices were increased to Rs 272 a litre, a hike of Rs 22. One meme likened Dar to the electrician who came to change a light-bulb but ended up burning down the wiring of the entire house.

Of course, it's not all Dar's fault. The real problem with Pakistan's economy is structural and has been brewing for decades. "Basically, we've been living beyond our means and consuming more dollars than we have been earning for a long time," says economist Asad Sayeed. "Now, the difference is, we are faced with a difficult external environment, with the rest of the world unwilling to bail us out again." The difficult environ-

"WE HAVE NEVER DEFAULTED AND WE WILL NOT NOW...YES, WE'RE GOING THROUGH A PRECARIOUS SITUATION. MISMANAGEMENT AND BAD GOVERNANCE ARE THE REASONS FOR PAKISTAN'S CURRENT PREDICAMENT"

ISHAQ DAR
Finance Minister, Pakistan

